



Weekly Insights | Feb 12, 2026

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Executive Summary

Corn – Carry Holds as Exports Execute, Board Drifts

Corn futures softened through the holiday-shortened week, with March settling near \$4.27, down about five cents. The March–May spread held near a 9.25 cent carry (61 percent of full carry), keeping the front end stable despite weaker flat price action. Export inspections for the week ending February 12 totaled about 1.49 MMT, with cumulative shipments still running ahead of last year and broadly aligned with USDA projections. Cash markets stayed firm, with CIF Gulf values steady near \$5.26–\$5.29 and interior river basis mixed but supported as logistics normalized. Managed money held a moderate net short near 57,493

contracts, well below prior extremes and no longer expanding. With global supply ample, steady execution and stable spreads continue to limit downside momentum in the nearby structure.

Wheat – Heavy Balance Sheet Caps Rallies Despite Solid Flow

Chicago SRW futures weakened into midweek, with March settling near \$5.47 under persistent global competition. The March–May spread held near a 4.75 cent carry, well below full carry and consistent with limited commercial urgency. Weekly export inspections totaled about 0.38 MMT, keeping shipments modestly ahead of last year. Gulf basis and interior bids were largely unchanged, signaling adequate coverage. Managed money remains heavily net short near 85,832 contracts, reinforcing a defensive tone. With Russian FOB wheat still competitively offered and no fresh production shock emerging, rallies remain constrained absent a shift in export competitiveness.

Soybeans – Crush Support Persists as Brazil Sets the Ceiling

Soybeans traded modestly lower, with March settling near \$11.33. The March–May spread held near a 16 cent carry (72 percent of full carry), reflecting comfortable nearby supply alongside steady domestic pull. Weekly inspections totaled 1.20 MMT for the week ending February 12, but cumulative shipments stand near 24.35 MMT, roughly 32 percent below last year, highlighting Brazil's dominant early-season export window and limited U.S. participation in China. January NOPA crush reached 221.6 Mbu, a monthly record, reinforcing domestic demand even as soybean oil stocks remain elevated. CIF Gulf held near \$12.36–\$12.37 and interior processor bids stayed firm. Managed money remains net long near 115,896 contracts, elevated and vulnerable to liquidation if export momentum fails to improve. With South American supply large, U.S. demand continues to anchor the front end, leaving the complex supported domestically but capped externally.

(Carry percent calculated assuming 7 percent annual interest and \$0.05/bu per month storage/insurance cost over the spread interval.)

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Macro / Policy – Dollar Firms as Risk Tone Softens

The U.S. dollar firmed modestly through the week, adding incremental pressure to export competitiveness at the margin, particularly for wheat and soybeans facing direct competition from lower-cost origins. Crude oil edged higher toward the mid-\$63 per barrel range, offering mild support to biofuel-linked demand but not enough to materially shift margins. Equity markets softened in a broader risk-off tone tied more to macro positioning than commodity-specific catalysts. Ethanol production remained firm at 1.08 million barrels per day for the week ending February 6, while stocks increased to approximately 25.25 million barrels, indicating steady grind but no acceleration in blending demand. Interest rate expectations and currency stability remain background variables, but for now macro flows are influencing sentiment rather than structure. Grain markets continue to trade primarily on internal balance sheet dynamics rather than external policy shocks.

Weather – US Logistics Improve; Argentina Remains the Volatility Point

U.S. winter wheat remains in dormancy with no new national Crop Progress update issued during February. State-level conditions across the Plains remain generally steady, and recent snow cover has limited winterkill concerns. River logistics have improved from earlier winter constraints, reducing freight friction without materially altering basis. In Brazil, harvest progress continues under broadly favorable central weather, reinforcing expectations for a soybean crop near 177.98 million metric tons and sustaining export momentum. Southern Brazil retains localized moisture variability, but no national production revision has emerged. Argentina remains the primary weather-sensitive region, with soil moisture deficits persisting in key soybean and corn areas. While localized stress remains evident, no new official downgrade occurred during the reporting window. Outside South America, global weather conditions remain quiet, leaving Argentina as the central volatility variable rather than an active disruption.

What's Next (Feb 11 – Feb 18):

Export inspections: *does corn execution stay ahead of last year*

Export sales: *any confirmation of soybean demand amid Brazil competition*

CFTC positioning: *stabilization vs renewed exposure*

Brazil harvest progress and vessel lineups

EIA ethanol production and stocks

Dollar direction and macro risk tone

Table A – CME Futures (Front Contracts)

(Prices in USD per bushel, volume/open interest in contracts)

Contract (Front Month)	02/11/2026 Close	02/18/2026 Close	Change (Δ)	Δ percent	5-day Realized Vol* (x)	Open Interest Δ (x)
Corn (Mar '26)	\$4.33	\$4.27	-\$0.06	-1.39 percent	15 percent (ann.)	-9k (est.)
Soybeans (Mar '26)	\$11.30	\$11.33	-\$0.03	+0.27 percent	14 percent (ann.)	-5k (est.)
Wheat (Mar '26)	\$5.33	\$5.47	+\$0.14	+2.63 percent	21 percent (ann.)	-2k (est.)

5-day realized volatility estimated from daily settlement price changes.

Actual contract open interest changes are estimated.

Table B – Key Calendar Spreads & percent of Full Carry

Spread (Crop '25→'26)	02/12/2026 Quote	02/18/2026 Quote	Δ (carry)	percent Full Carry*	Market Implication
Corn Mar–May	+0.08\$	+0.09\$	+0.01	60 percent	Stable; widening slightly as nearby supply is absorbed
Soy Mar–May	+0.12\$	+0.16\$	+0.04	72 percent	Carry-driven; wider spread reflects comfortable nearby stocks
Wheat Mar–May	+0.09\$	+0.05\$	-0.04	31 percent	Constructive tightening, though global supply remains heavy

Assumes 7 percent annual interest and \$0.05/bu per month storage/insurance. Estimated full carry over Mar–May (2 months): corn ≈ \$0.15, SRW wheat ≈ \$0.16, soybeans ≈ \$0.22. Percent of full carry = (calendar spread ÷ estimated full carry).

Table C – Notable International Futures (weekly moves, if significant):

Exchange (Front Month)	02/12/2026 USD Price	02/18/2026 USD Price	Δ percent	Notes
Dalian Corn (Mar)	¥2,262(\$8.28/bu)	¥2,279 (\$8.40/bu)	+0.75 percent	Domestic China prices firming slightly on post-holiday restocking
Dalian Soymeal (Mar)	¥2,745(\$395.64/mt)	¥2,728 (\$394.88/mt)	-0.62 percent	Pressured by high global bean supply and weaker crush margins
B3 (São Paulo) Corn (Mar)	R\$70.15 (\$13.39)	R\$69.20 (\$13.21)	-1.35 percent	Softer on BRL depreciation and Brazil harvest progress
Euronext Wheat (Mar)	€193.75 (\$228.68/mt)	€189.50 (\$223.61/mt)	-2.19 percent	EU wheat remains under pressure from aggressive Black Sea pricing.

Corn Market Deep Dive

Futures & Spreads: Corn drifted modestly lower through the holiday-shortened week, with March futures settling near \$4.27, down roughly five cents from the prior close. The March–May spread widened slightly to around a **9.25-cent** carry, representing roughly 61 percent of full carry under the Mar–May framework. While the curve remains in carry, it is not pressing toward maximum storage economics. The structure continues to reflect adequate supply but steady nearby demand, with no evidence of stress in either direction. Volatility remained muted and price action contained, reinforcing a market that is consolidating rather than trending.

Funds & Positioning: Managed Money maintained a net short near **57,493** contracts as of the February 10 CFTC report. The position remains meaningful but far from historical extremes and, importantly, is no longer expanding. Gross shorts have stabilized while longs have edged modestly higher, suggesting a defensive posture rather than an aggressive bearish build. With futures failing to break meaningfully lower and spreads holding their ground, speculative pressure appears controlled. Absent a macro catalyst or deterioration in export pace, funds appear comfortable maintaining exposure without increasing conviction.

Cash & Basis: Cash markets held relatively steady. CIF Gulf values remained firm in the \$5.26–\$5.29 range, while interior river bids showed modest regional variation but no broad softening. Freight conditions have improved from peak winter disruption, though draft limitations continue to influence barge efficiency. Basis strength is not accelerating, but neither is it eroding. The nearby physical market remains stable, signaling continued execution rather than liquidation.

Export Sales & Inspections: Export inspections for the week ending February 12 totaled approximately 1.49 million metric tons, maintaining a shipment pace ahead of last year and broadly consistent with USDA expectations. Weekly export sales for the week ending February 5 totaled **2,105,500 metric tons**, reinforcing that forward commitments remain active. Cumulative shipments now account for roughly 60 percent of the USDA export forecast, indicating that the program remains on pace despite softer flat price action. The export channel continues to provide structural support even as futures consolidate.

Global Context: Brazil's export program remains active, though forward pressure has moderated relative to peak harvest expectations. Argentine corn production remains stable on official estimates, with no new material downgrade during the week. Russian and Ukrainian corn offers remain present but not aggressively undercutting U.S. Gulf values into core destinations. U.S. origin retains a competitive position into Mexico and select Latin American markets, though Brazil continues to anchor broader global pricing expectations.

So What? Corn remains structurally stable. The board has softened, but spreads are holding near 60 percent of full carry, basis is steady, and export execution remains intact. Funds are short but not pressing. Without a supply shock or demand deterioration, the market continues to oscillate within a range defined more by carry economics than directional conviction. For now, structure remains firmer than flat price suggests.

Soybean Market Deep Dive

Futures & Spreads: Soybeans softened modestly through the week, with March futures settling near \$11.33, drifting lower in holiday-thinned trade. The March–May spread held near a **16 cent** carry, maintaining a clear contango structure that continues to reflect adequate nearby supply. On a full-carry framework, the spread sits near 72 percent of full carry, signaling neither tightening stress nor burdensome pressure. The curve remains stable, and price action suggests consolidation rather than directional conviction. While flat price lacks urgency, the structure has not weakened materially.

Products & Crush: Crush fundamentals remain the anchor. January NOPA crush totaled 221.6 million bushels, a record for the month and confirmation that domestic demand remains historically strong. Soybean oil stocks rose to approximately 1.9 billion pounds, up sharply year over year, tempering enthusiasm on the product side. The crush margin remains meal-driven, with soybean meal demand providing the primary support for processing economics. USDA's emphasis on domestic use as the key demand pillar continues to be validated by execution data.

Cash & Basis: Cash markets held steady despite softer board tone. CIF Gulf values remained near \$12.36–\$12.37, reflecting continued export coverage even as Brazil's harvest advances. Interior processor bids remained firm across the Midwest, with limited evidence of aggressive farmer selling. Basis is not accelerating higher, but it is not retreating either. The nearby market remains supported by crush pull rather than export urgency, reinforcing the divergence between domestic strength and global supply weight.

Funds & Positioning: Managed Money maintained a sizable net long near **115,896** contracts as of the

February 10 report, elevated relative to recent historical averages. While not at record extremes, the positioning profile leaves the market more vulnerable to long liquidation than short covering. Gross long exposure remains substantial, and absent a fresh bullish catalyst, speculative conviction appears tactical rather than structural. The positioning tilt is constructive, but extended.

Export Sales & Inspections: Weekly export inspections for the period ending February 12 totaled 1,202,617 metric tons. Cumulative inspections for the 2025/26 marketing year now stand at 24,348,735 metric tons, compared with 36,019,599 metric tons at the same time last year — a decline of roughly 32 percent year over year. While weekly flow remains functional, the broader export program continues to lag materially behind last season due to Brazil's dominant early-season presence.

Global Context: Brazil's 2025/26 soybean production estimate remains near 178 million metric tons, reinforcing expectations for a large exportable surplus. Harvest progress continues without major disruption in central regions, and FOB offers remain competitive into Asia. Argentina's production outlook remains near 48.5 million metric tons, with localized stress but no material downgrade during the reporting window. Brazil continues to set the global pricing ceiling, limiting U.S. upside absent a supply disruption or shift in trade flow timing.

So What? Soybeans remain domestically supported but externally weak. Record crush continues to anchor the nearby structure, yet cumulative export inspections are running roughly 32 percent behind last year, underscoring Brazil's dominance in early-season trade flows. The curve reflects comfortable supply, and funds remain meaningfully long. Absent a shift in export momentum or a South American production disruption, upside remains capped while domestic demand prevents structural deterioration.

Wheat Market Deep Dive

Futures & Spreads: Wheat futures firmed through the holiday-shortened week, with March Chicago SRW settling near \$5.47, down roughly fifteen cents on the period. The March–May spread held near a 4.75-cent carry, maintaining a storage-led structure but without tightening. The curve remains comfortably in contango, reflecting adequate supply and limited urgency from commercial buyers. Price action was largely technical, with no fresh fundamental catalyst emerging. Kansas City and Minneapolis contracts followed a similar tone, offering little structural divergence within the complex.

Cash & Basis: Cash markets remained broadly stable. CIF Gulf SRW values held near \$6.23–\$6.28 per bushel, while interior basis levels showed regional variation but no meaningful tightening. Plains HRW basis remained steady despite localized dryness concerns, and Pacific Northwest values were largely unchanged. The absence of basis acceleration reinforces the view that end users remain covered. The physical market continues to signal sufficiency rather than scarcity.

Export Sales & Inspections: Weekly export inspections for the period ending February 12 totaled approximately 0.38 million metric tons, a moderate weekly pace. Export sales for the week ending February 5 reached roughly 488,000 metric tons, consistent with routine demand but not indicative of acceleration. Cumulative shipments remain aligned with USDA projections and modestly ahead of last year's pace, yet volumes remain insufficient to materially tighten the balance sheet. The export program is functioning, but it lacks momentum capable of shifting broader sentiment.

Global Context: Global supply remains the defining feature. Russian wheat continues to anchor world pricing, with export offers remaining competitive into North Africa and the Middle East. Ukrainian shipments remain active through established corridors, and European origin has re-entered select

tenders where freight allows. Argentine supply remains available, adding incremental pressure. With no logistical disruption or policy constraint emerging across major exporters, global availability continues to cap rallies and limit speculative rebalancing.

Funds & Positioning: Managed Money maintains a substantial net short near **85,832 contracts** as of the February 10 CFTC report. While positioning is not expanding aggressively, it remains historically large. Short covering has been limited, suggesting that funds remain comfortable leaning defensively in the absence of a catalyst. The short profile provides latent upside risk, but without a supply disruption or export acceleration, that positioning alone has not been sufficient to trigger sustained covering.

So What? February reaffirmed wheat as the loosest balance sheet within the grain complex. Domestic stocks remain elevated, global inventories are comfortable, and structure continues to reward storage over urgency. Export demand is steady but insufficient to tighten conditions, and cash markets show little stress. Without disruption in a major exporting region or a material shift in global demand, wheat is likely to remain rangebound, driven more by positioning and spread behavior than by fundamental tightening.

US Cash Market & Basis

Corn: Corn basis held steady across primary corridors despite softer futures. CIF Gulf values remained near \$5.26–\$5.29 per bushel, reflecting continued export coverage. Interior river bids showed modest regional variation but no broad deterioration. Freight conditions have improved from peak winter disruption, though draft limitations still affect barge efficiency. Ethanol plant bids across the Midwest remained firm, signaling consistent grind demand and limited farmer selling. The physical market remains balanced, with no evidence of forced movement.

Soybeans: Soybean basis continues to reflect strong domestic crush pull. CIF Gulf values held near \$12.36–\$12.37, indicating steady export coverage even as Brazil's harvest advances. Interior processor bids across key Midwest regions remained competitive, reinforcing spot demand. River logistics have normalized relative to prior constraints, reducing transportation friction without materially loosening basis. While the board softened, cash markets continue to reflect structural domestic demand.

Wheat: Wheat cash markets were largely unchanged. CIF Gulf SRW values remained near \$6.23–\$6.28 per bushel, while HRW basis across the Plains showed limited movement. Pacific Northwest bids were steady, and interior markets lacked directional energy. With no export acceleration or logistical disruption, basis remains stable but unresponsive. U.S. wheat continues to face competitive global pressure, limiting tightening in nearby structure.

So What? Physical markets remain steadier than futures suggest. Corn basis reflects export execution and ethanol demand, soybeans remain anchored by crush, and wheat signals sufficiency rather than scarcity. Logistics have improved but have not altered structure. Absent a material shift in demand or supply, cash markets are likely to remain balanced as futures consolidate.

International Cash & Trade Flows

Brazil: Brazil continues to anchor global trade flows through strong execution and competitive pricing. ANEC projects robust soybean shipments through early 2026 as harvest advances. FOB offers out of Santos and Paranaguá remain competitive into Asia, sustaining export momentum. Corn exports remain supported by late-season availability and active vessel lineups across major ports. Brazil's export program remains the dominant structural force in global oilseed and coarse grain flow.

Argentina: Argentina remains the primary supply-side uncertainty. Soybean and late-planted corn

conditions show vulnerability amid uneven rainfall and soil moisture deficits, heightening sensitivity to February precipitation during reproductive stages. FOB offers have adjusted modestly and remain competitive where available. Export flow continues but lacks the scale to challenge Brazil's dominance absent a weather-driven disruption.

China: China's import posture remains selective. Routine U.S. soybean cargoes have moved, but no large new purchase announcements emerged during the window. Brazilian origin continues to be favored due to pricing advantages and abundant supply. Domestic corn price support tempers incremental import demand, while downstream feed margins remain pressured. China remains tactical rather than expansionary.

EU / Black Sea: Black Sea origin continues to set the tone for wheat pricing. Russian 12.5 percent protein wheat remains competitively offered on FOB terms, pressuring U.S. origin into price-sensitive tenders. Ukrainian corn remains available through established corridors, while EU wheat export pace trails last year. Lower-cost Black Sea supply remains the primary outlet for global wheat trade.

Other Regions: Australia continues to move wheat into Asian markets following a solid harvest, while Canadian spring wheat exports proceed in line with seasonal norms. No material trade restrictions, quota shifts, or policy disruptions have emerged across secondary exporters. The broader international environment remains stable and well supplied.

So What? Global trade flows continue to reflect price leadership rather than disruption. Brazil dominates soybeans and remains competitive in corn, Russia and Ukraine anchor wheat supply, and Argentina's role remains weather-dependent. China's demand remains opportunistic. U.S. competitiveness is timing-driven rather than structural, and absent supply shocks or narrowing FOB spreads, global flows are likely to remain competitive rather than restrictive.

Key Fundamentals & Reports (Feb 12 – Feb 18)

Export Inspections (USDA FGIS – week ending Feb 12): Corn export inspections totaled 1,492,383 metric tons, bringing cumulative 2025/26 shipments to 35,726,976 metric tons, compared with 24,749,316 metric tons at the same point last year, an increase of approximately 44 percent year over year, keeping the program ahead of the pace required to meet USDA's projection. Soybean inspections reached 1,202,617 metric tons, with cumulative shipments at 24,348,735 metric tons versus 36,019,599 metric tons last year, a decline of roughly 32 percent year over year, reflecting Brazil's dominant early-season export window. Wheat inspections totaled approximately 381,000 metric tons, with marketing-year shipments modestly ahead of last season and broadly aligned with USDA expectations, though not at a pace sufficient to materially tighten the balance sheet.

Export Sales (USDA FAS – latest through week ending Feb 5): Weekly export sales for the week ending February 5 reflected continued forward activity. Corn net sales totaled 2,105,500 metric tons, marking a strong weekly commitment. Soybean net sales totaled 377,600 metric tons, while wheat net sales reached 498,000 metric tons. While soybean bookings remain moderate relative to prior seasonal peaks, corn commitments continue to run firmly. No major daily flash sales were reported during the window. Due to the Washington's Birthday Federal holiday, the next U.S. Export Sales report will be released Friday, February 20, 2026.

Ethanol Production & Stocks: Ethanol production for the week ending Feb 13 averaged **1.08 million barrels per day** (down from 1.11), while stocks remained high at **25.25 million barrels**. This indicates a

slight seasonal dip in production while inventories continue to build, keeping a lid on immediate corn demand upside.

NOPA Soybean Crush: January NOPA crush totaled 221.56 million bushels, a record for the month and confirmation of historically strong domestic processing demand. Soybean oil stocks increased to approximately 1.90 billion pounds, reflecting ample product availability even as crush margins remain meal driven. The data reinforces domestic demand as the primary support within the soybean balance sheet.

CFTC Positioning: As of February 10 (released February 13), Managed Money held a net short of 57,493 contracts in corn, reflecting stabilization rather than renewed bearish expansion. In soybeans, funds maintained a sizable net long of 115,896 contracts, elevated relative to recent averages. Chicago SRW wheat held a net short of 85,832 contracts, remaining the most structurally bearish position across the grain complex. Positioning remains influential but is no longer accelerating in any single direction.

So What? Core U.S. fundamentals remain stable. Corn exports and ethanol grind continue to validate steady demand. Soybeans are anchored by record crush despite competitive global supply. Wheat execution remains routine but overshadowed by ample global availability. Speculative positioning remains meaningful but is no longer expanding aggressively. Beneath the board's consolidation, physical execution remains intact as mid-February progresses.

International Reports

Brazil: Brazil remains the central driver of global oilseed and corn supply. CONAB maintains 2025/26 soybean production at 177.98 million metric tons, reinforcing expectations for a large exportable surplus. Corn production under CONAB's February update is estimated at 138.45 million metric tons, reflecting a larger total supply outlook than earlier projections. The first crop remains steady, while the safrinha crop accounts for the majority of the expected volume. This larger production profile reinforces expectations for a significant second-half export presence and continued pressure on global FOB pricing once harvest advances.

Argentina: Argentina's production outlook remains stable on official estimates, with soybeans near 48.5 million metric tons and corn near 57 million metric tons. Weather variability persists, but no fresh downward revisions emerged during the reporting window. Farmer selling remains measured, influenced by currency dynamics and macro uncertainty, limiting aggressive forward flow. FOB values have adjusted modestly but not sharply, indicating that export channels remain functional despite agronomic variability. The market continues to monitor late-season rainfall, but risk has not yet translated into structural volume constraints.

China: Chinese demand signals remained measured. No major new U.S. purchase announcements were reported during the period, though routine soybean inflows continued. Domestic futures markets showed modest firmness, suggesting stable crush economics, but downstream feed demand remains constrained by livestock margin pressure. State support for domestic corn pricing continues to temper incremental import demand. China remains active but tactical, providing support on breaks rather than driving sustained upside.

EU / Black Sea: Black Sea origin continues to set the tone for global wheat pricing. Russian 12.5 percent protein wheat remains competitively offered near \$229 per metric ton FOB, reinforcing its role as the global price leader. Ukrainian corn remains available through established export corridors, with offers near \$235 per metric ton FOB into select destinations. European Union wheat values remain elevated relative to price-sensitive tenders, and EU export pace remains behind last year's levels. With no new

policy or freight disruptions emerging, global wheat trade remains anchored by low-cost Black Sea supply, limiting upside potential for alternative origins.

So What? International markets remain defined by availability rather than disruption. Brazil continues to export aggressively, Argentina's risk profile is monitored but not escalating, and Russia maintains pricing leadership in wheat. China's participation remains selective. Global supply remains ample on paper, and until weather, logistics, or policy materially constrain exportable volume, international trade flows are likely to remain competitive rather than restrictive.

Weather & Crop Conditions

United States

Weather remains a secondary driver for US grain markets, though short-term patterns have been operationally supportive. Temperatures across much of the Midwest and Plains have trended near to slightly above seasonal norms, limiting freeze-related logistics disruptions and allowing river systems to function more consistently following earlier winter constraints. Snow cover across key HRW wheat areas in Kansas, Oklahoma, and Colorado remains adequate, reducing immediate winterkill risk despite intermittent cold shots. NOAA's 6–10 and 8–14 day outlooks continue to favor moderation rather than extreme cold, reinforcing dormancy stability for winter wheat and limiting headline-driven volatility. With harvest complete and no active fieldwork underway, US weather remains neutral from a supply standpoint, functioning primarily as a logistics variable rather than a production catalyst at this stage of the calendar.

Brazil

Brazil's weather profile remains broadly favorable for aggregate production. Central and northern regions continue to receive adequate rainfall, supporting soybean development and sustaining expectations for a large national crop near CONAB's 177.98 million metric ton estimate. Harvest progress continues, though fieldwork remains uneven in localized areas where rainfall has slowed operations. In southern Brazil, moisture levels remain elevated in parts of Paraná and Rio Grande do Sul, contributing to localized variability and increased disease pressure. However, no new national yield revision emerged during the window, and export logistics continue to function normally. For now, Brazil's weather remains a variability story rather than a disruption narrative.

Argentina

Argentina's crop profile remains the most weather-sensitive element globally. Soil moisture deficits persist across key soybean and corn regions, and crop ratings remain below seasonal norms. However, during the reporting window, no material downward revision to official production estimates was issued, with soybeans near 48.5 million metric tons and corn near 57 million metric tons. Rainfall coverage remained uneven, offering limited relief without reversing broader stress. With crops advancing through reproductive stages, yield sensitivity remains elevated, but the market has not materially repriced supply risk during the week. Weather risk remains present, though not intensifying.

Global

Outside South America, global weather risks remain limited. Winter wheat across Russia, Ukraine, and the European Union remains in dormancy under generally stable conditions, with no new winterkill threats reported. Black Sea logistics continue without disruption. Australia and Canada report no new production concerns. The broader global weather profile remains stable.

So What?

Weather risk remains concentrated but contained. Argentina continues to face structural moisture stress, while southern Brazil exhibits localized variability. Central Brazil remains productive, and U.S. conditions remain neutral. At this stage, weather is being monitored rather than repriced. Until either Argentina sees

a measurable production downgrade or Brazilian harvest disruptions materially impact export flow, weather remains a background variable rather than a directional catalyst.

Synthesis & Outlook

Futures softened through the holiday-shortened week, with corn settling at \$4.27 per bushel, soybeans at \$11.33, and Chicago SRW wheat at \$5.47. While flat price drifted lower, the underlying structure remained stable. The March–May corn spread held near a 9-cent carry (60 percent of full carry), soybeans near a 16 cent carry (72 percent of full carry), and wheat near a 4½–5 cent carry, confirming adequate supply without structural stress. CIF Gulf and interior basis levels remained steady across all three complexes. Managed money positioning remains meaningful, approximately –57,500 corn, +115,900 soybeans, and –85,800 Chicago wheat as of February 10, but is no longer accelerating. The divergence between flat price softness and steady physical execution remains intact.

Corn continues to reflect balance rather than stress. Export inspections totaled 1.49 million metric tons for the week ending February 12, ethanol production held near 1.08 million barrels per day, and spreads are holding near 60 percent of full carry. CIF Gulf values remain near \$5.26–\$5.29, and interior basis has stabilized rather than strengthened. Futures remain capped by comfortable ending stocks, yet the front end continues to resist disorderly widening. The market appears content trading carry economics while awaiting a catalyst.

Soybeans remain structurally anchored by domestic crush. January NOPA crush totaled 221.6 million bushels, a monthly record, reinforcing USDA's emphasis on domestic use. Funds hold a sizable net long near 115,900 contracts, introducing potential vulnerability to liquidation but also reflecting constructive demand sentiment. Brazil's soybean production estimate remains near 177.98 million metric tons, keeping global supply expectations heavy, while Argentina's production remains near 48.5 million metric tons with weather risk present but not escalating. The structure remains firm at roughly 60 percent of full carry, but flat price lacks urgency absent a shift in trade flow or supply outlook.

Wheat remains the most structurally heavy component of the complex. Export inspections totaled 0.38 million metric tons, consistent but not dynamic. Global supply continues to dictate pricing, with Russian 12.5 percent protein wheat offered near \$229 per metric ton FOB. Spreads remain in carry near 5 cents, basis is stable near \$6.23–\$6.28 CIF Gulf, and speculative positioning remains heavily short near 85,800 contracts without forced covering. Until global availability tightens or a weather event materializes, wheat is likely to remain rangebound with rallies constrained.

Bullish triggers: Upside risk would likely require a measurable production downgrade in Argentina, particularly if soybean output falls materially below 48.5 million metric tons or corn below 57 million metric tons, or if harvest disruptions in southern Brazil begin to slow export execution. Additional support could emerge from a sustained acceleration in U.S. corn export pace above the current 1.49 million metric ton weekly trend, further strength in ethanol production above 1.08 million barrels per day, or meaningful short covering in wheat triggered by a global supply disruption.

Bearish triggers: Downside pressure would build under a smooth Brazilian harvest with uninterrupted export flow near 177.98 million metric tons, combined with stabilization or improvement in Argentine crop conditions. Softening U.S. basis across interior corridors would signal weaker physical demand, while long liquidation in soybeans, given the extended 115,900 contract net long, could amplify volatility. Continued Black Sea pricing dominance near \$229 per metric ton FOB would further cap wheat rallies and reinforce the heavy global supply narrative.

Watchlist (Feb 19–Feb 26):

Argentina: Argentina rainfall distribution and crop ratings

Brazil: Brazil harvest progress and export lineups

Weekly exports: Weekly export inspections and sales consistency

Ethanol: Ethanol production and stocks trajectory

Positioning: Fund positioning shifts in corn and wheat

In summary: Corn remains supported by export execution and steady ethanol demand, with cumulative shipments running 44 percent ahead of last year. Soybeans rely primarily on record domestic crush to offset a materially weaker export program that is currently 32 percent behind last season. Wheat continues to trade under the weight of ample global availability and persistent Black Sea competitiveness. None of the complexes exhibit tightening stress, and until either demand accelerates or supply is disrupted, price discovery is likely to remain governed by carry economics and incremental flow rather than conviction-driven movement.

Ethanol for America Act

The major barrier to a higher Renewable Fuel Standard (RFS) is the fuel versus food debate. Now is the perfect time to move to E15. Corn prices are extremely low, and the latest USDA *WASDE* reported a record crop and a record crop expansion.

USDA *WASDE* forecast corn production at 16.7 billion bushels, with the yield at 188.8 bushels per acre and ending stocks at 2.1 billion. The season-average corn price dropped 30 cents to \$3.90 a bushel. Most importantly, 2025/26 crop year is expected to have 1.8 billion more bushels than 2024/25.

With current ethanol production consuming 5.6 billion bushels, a 10 percent increase in consumption would consume an additional 560 million bushels. The reality is that year around E15 would add approximately 50 million bushels and regulatory streamlining would add another 50 million bushels. At some point over the next ten years, the additional corn consumption could be 2.8 billion bushels minus lower fuel consumption resulting from electric vehicles. The ethanol corn consumption increase is likely to be more of a S curve as new compacity comes online.

With Brazil and the US corn and soybean production increasing, 100 million bushels of ethanol corn consumption will barely move the needle. The ethanol production capacity expansion that would be three to four years from now is when the corn consumption impact to the corn market would be felt.